

Approaching March 10, 2017, all eyes were on the Winklevoss ETF, as the SEC was required to make a decision on a 19b-4 filing the twins had submitted, which was a necessary step to listing an ETF. The prospect of a bitcoin ETF being approved gripped the cryptoasset community. An approval would not only be one of the greatest regulatory wins for the budding asset class, but would also require a large amount of bitcoin to be sourced to meet the demand of capital market investors buying the ETF.¹⁴ In a research report published early in January 2017, analyst Spencer Bogart, at the time with Needham & Company, wrote, “We think the listing of a bitcoin ETF would have a profound effect on the price of bitcoin. Conservatively, we estimate that a bitcoin ETF could attract \$300 million in assets in its first week and the resulting effort to source the underlying bitcoin for the Trust would likely drive the price of bitcoin up significantly.”¹⁵

Prior to the decision, the price of bitcoin rose in anticipation of this surge in demand. Although those with the greatest understanding of cryptoassets and the capital markets doubted the product would get approved,¹⁶ the price of bitcoin hit a new high before the decision. On March 10, at an SEC event totally unrelated to Bitcoin known as the Evidence Summit, an SEC employee made a public comment: “I will say that, for people that are emailing in, we have nothing to say about bitcoin, so please stop asking.”¹⁷ Clearly, the entire community was hungry for news on this decision.

Later that day, the SEC denied approval to the Winklevoss ETF.¹⁸ Following is the key part of that ruling: